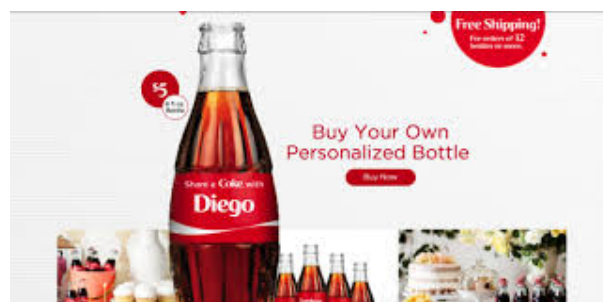


# Global Marketing Communication



## Global Marketing Communications

- The primary purpose of marketing communications is to tell customers about the benefits and values that a company, product, or service offers
- Integrated Marketing Communications (IMC) is becoming more popular because of the challenges of communicating across national borders



# Global Advertising

- Advertising is any sponsored, paid message that is communicated in a non-personal way
  - Single country
  - Regional
  - Global
- Global advertising is the use of the same advertising appeals, messages, art, copy, photographs, stories, and video segments in multiple country markets

## Standardization vs. Adaptation

- Primary Question
  - Must the specific advertising message and media strategy be changed from region to region or country to country?

# Standardization vs. Adaptation

- Four difficulties that compromise an organization's communication efforts
  - The message may not get through to the intended recipient.
  - The message may reach the target audience but may not be understood or may even be misunderstood.
  - The message may reach the target audience and may be understood but still may not induce the recipient to take the action desired by the sender.
  - The effectiveness of the message can be impaired by *noise*.

# Standardization vs. Adaptation

*“Eighteen-year olds in Paris have more in common with 18-year-olds in New York than with their own parents. They buy the same products, go to the same movies, listen to the same music, sip the same colas. Global advertising merely works on that premise.”*

- William Roedy, Director, MTV Europe

# Creating Global Advertising

- Creative strategy
- Big idea
- Advertising appeal
  - Rational approach
  - Emotional approach
- Selling proposition
- Creative execution
  - Art & Copy

## Global Media Decisions

- Prepare new copy for foreign markets in host country's language
- Translate the original copy into target language
- Leave some or all copy elements in home country language



# Media Decisions – Saudi Arabia

- Use of comparative advertising claims is prohibited
- Non-censored films cannot be advertised
- Women may only appear in those commercials that relate to family affairs, and their appearance must be in a decent manner that ensures feminine dignity
- Women must wear a long suitable dress which fully covers her body except face and palms

## Public Relations and Publicity

- Fosters goodwill and understanding
- Generates favorable publicity
- Tools
  - News releases
  - Media kits
  - Press conferences
  - Tours
  - Articles in trade and professional journals
  - TV and radio talk show appearances
  - Special events

# The Growing Role of Public Relations in Global Marketing

- Public Relations expenditures are growing at an average of 20% per year
- In India they are reported to be growing by 200% annually
- Reasons for the growth
  - Increased governmental relations between countries
  - Technology
  - Societal issues in the environment

## Public Relations Practices around the World

- Public relations practices can be affected by:
  - Cultural traditions
  - Social and political contexts
  - Economic environments
- Public relations professionals must understand these differences and tailor the message appropriately

# Sales Promotion

- Sales promotion refers to any paid consumer or trade communication program of limited duration that adds tangible value to a product or brand
  - Price vs. non-price promotions
  - Consumer vs. trade promotions



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## Sales Promotion: Global or Local

- In countries with low levels of economic development, low incomes limit the range of promotional tools available
- Market maturity can also be different from country to country
- Local perceptions of a particular promotional tool or program can vary
- Local regulations may rule out use of a particular promotion in certain countries
- Trade structure in the retailing industry can affect the use of sales promotions.

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# Sampling

- Sampling
  - Provides consumer with opportunity to try product at no cost
  - May be distributed in stores, in the mail, through print media, at events, or door-to-door



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# Coupons

- Coupons
  - Printed certificates entitle the bearer to a price reduction or some other special consideration for purchasing a particular product
- Couponing accounts for 70% of consumer promotion spending in the US

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# Sales Promotion: Issues and Problems

- Fraud
- Regulations vary by country
- Cultural dispositions to coupons and other sales promotions
  - Malaysians see coupon usage as embarrassing
  - Islam frowns on gambling so sweepstakes may not work

## Personal Selling

- Person-to-person communication between a company representative and potential buyers
- Focus is to inform and persuade prospect
- Short-term goal: make a sale
- Long-term goal: build relationship

# Personal Selling Hurdles

- Political Risks – unstable or corrupt governments change the rules for the sales team
- Regulatory Hurdles – Governments can set up quotas or tariffs that affect the sales force
- Currency Fluctuations – increase and decrease in local currencies can make certain products unaffordable
- Market Unknowns – lack of knowledge of market conditions, the accepted way of doing business, or positioning of the product may derail the sales team's efforts

# Special Forms of Marketing Communications

- Direct Marketing
  - Direct mail
  - Catalogs
  - Infomercials, Teleshopping
- Event Sponsorship
  - Concerts, sports events
  - Product placement in movies
- Internet Communications

# Direct Marketing

- Any communication with a consumer or business recipient that is designed to generate a response in the form of:
  - An order
  - Request for further information
  - A visit to a store or other place of business

# Mass Marketing

- Communication that is typically aimed at broad segments of consumers with certain demographic, psychographic, or behavioral characteristics



# Direct Marketing vs. Mass Marketing

| Direct Marketing                                                                                                   | Mass Marketing                                                                                                                           |
|--------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| Marketer adds value (creates place utility) by arranging for delivery of product to customer's door.               | Product benefits do not typically include delivery to customer's door.                                                                   |
| Marketer controls the product all the way through to delivery.                                                     | Marketer typically loses control as product is turned over to distribution channel intermediaries.                                       |
| Direct response advertising is used to generate an immediate inquiry or order.                                     | Advertising is used for cumulative effect over time to build image, awareness, loyalty, and benefit recall. Purchase action is deferred. |
| Repetition is used within the ad or offer.                                                                         | Repetition is used over a period of time.                                                                                                |
| Customer perceives higher risk because product is bought unseen. Recourse may be viewed as distant or inconvenient | Customer perceives less risk due to direct contact with product. Recourse is viewed as less distant.                                     |

## One-to-One Marketing

- Building from Customer Relationship Management
  - Identify customers and accumulate detailed information about them
  - Differentiate customers and rank them in terms of their value to the company
  - Interact with customers and develop more cost efficient and effective forms of interaction
  - Customize the product/service offered to the customer

# Catalogs

- A magazine style publication that features photographs and extensive information about a company's products

L.L.Bean

